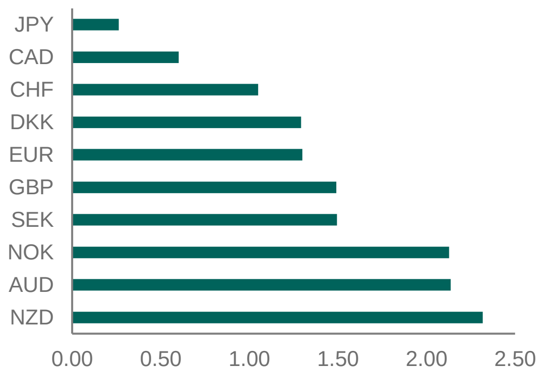
The Week Ahead FX

- US – Iran ceasefire announcement weighed on the USD – albeit to a small extent.
- Headline risks exist for GBP over the coming week, with the focus on BoE officials at the Spring IMF meetings.
- USD/CNY has resumed its downtrend – we maintain a constructive CNY stance.

Chart 1: Risk on following ceasefire announcement

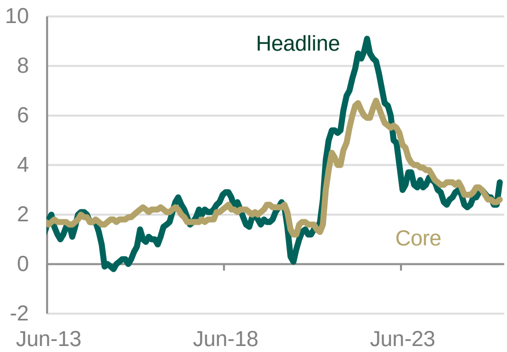
Total Return Vs. USD, 6 – 10 April, %



Sources: Bloomberg Finance L.P.

Chart 2: US inflation rose in March

Headline & Core CPI, y/y, %



Sources: Bloomberg Finance L.P.

USD – Modest weakness following ceasefire

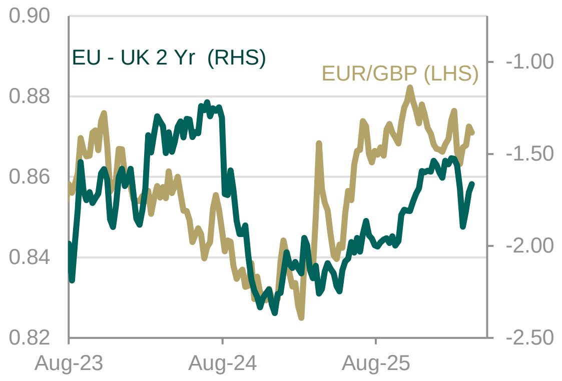
Last week, the US Dollar Index (DXY) fell by around 1% - reflecting the announcement of the two-week ceasefire between the US and Iran. EUR/USD rose to levels of around 1.17, and USD/CHF fell back to levels of around 0.7850. The moves in G10 currencies illustrated that higher beta / higher carry currencies gained the most with the likes of AUD, NZD and NOK showing the largest gains against the greenback – consistent with what we would expect given the ceasefire announcement.

From a data perspective, there were several important developments. The Minutes of the US Federal Reserve's March FOMC meeting were on the dovish side – however, the USD did not weaken in any material sense following their publication.

US March CPI data printed at 3.30% y/y (headline), and the core reading rose to 2.60% y/y. The inflation prints were just below expectations – however, they were the highest levels in over a year, largely reflecting the impact of higher energy prices. The data show that the Fed's progress towards achieving its 2% inflation goal is clearly stalling. US two-year yields traded to levels of around 3.80% following the release of the data – meaning that markets have essentially priced out further Fed easing. The coming week has several event risks for the USD – first with ongoing ceasefire negotiations in the Middle East. A more durable ceasefire agreement would be constructive for risk sentiment in our view. The publication of PPI data are likely to show a higher rate of factory gate inflation – as would be expected given energy price trends.

Chart 3: EUR/GBP has upside risks

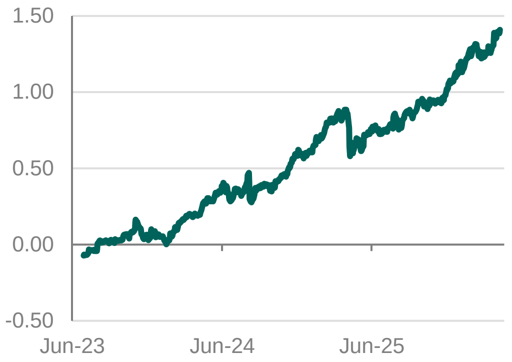
EUR/GBP spot, 2 Yr. swap spread, %



Sources: Bloomberg Finance L.P.

Chart 4: JGB yields priced in rate hikes

2 Yr. JGB yield, %



Sources: Bloomberg Finance L.P.

GBP – BoE officials on the wires

Last week, GBP/USD rose to levels of around 1.3450, reflecting USD weakness. The prospect of a ceasefire in the Middle East should be beneficial for GBP, as lower oil prices would in theory reduce imported inflation effects. We note that the Bank of England (BoE) has already raised its inflation expectations for 2026 from levels of around 2.00% to a range of between 3.00% - 3.50%, and markets have moved to price in around 35 bps in BoE rate hikes by year-end – which would bring the BoE's base rate to levels of at least 4%. The coming week has few domestic data releases – however, there are several BoE MPC members speaking at the IMF's Spring meeting in Washington next week. Markets will pay close attention to the content of their speeches, and we anticipate that BoE members could stress a data dependent and patient approach when it comes to responding to first and second order inflation effects. The upshot of this is that GBP has some potential for short-term weakening – giving upside risks for EUR/GBP and modest downside risks for GBP/CHF exchange rates. We note that front-end spreads have already moved in favour of EUR/GBP upside, and we continue to highlight longer-term upside potential for this cross.

JPY – Moving towards a rate hike

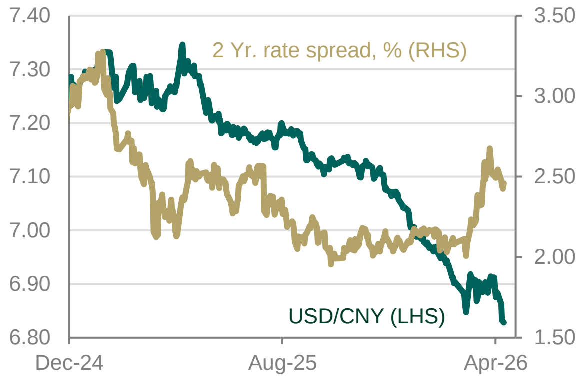
Last week, USD/JPY fell to levels of below 159.00. The decline reflected USD weakness, as described above. The price action is interesting, because normally we would expect that a risk on move would lead to a weakening in funding currencies – however, these are not normal times. USD/JPY had previously risen towards levels of 160.00 due to higher oil prices and their impact on Japan's terms of trade (ToT) and a potential future widening in Japan's trade deficit. This heightened fears in Bank of Japan (BoJ) policy makers, resulting in verbal interventions.

A sustained ceasefire would likely reduce oil prices, and this in turn would lead to a reduction in upside pressure on USD/JPY. This would then pave the way for the BoJ to raise its deposit rate towards the end of the month (28 April). We note that underlying conditions are supportive of another rate hike. Tankan surveys have pointed to solid underlying economic activity in the corporate sector, wage negotiations are pointing towards another solid rise in labour earnings, and inflation risks are now likely skewed to the upside following the rise in oil prices. We note that the overnight index swap (OIS) market has priced in a 25 bp deposit rate hike with only a 54% probability – meaning that if the BoJ does raise rates towards the end of the month, it could lead to modest JPY appreciation.

The coming week has few important domestic data releases, meaning that ongoing US-Iranian negotiations are likely to give short-term directionality for USD/JPY.

Chart 5: USD/CNY fell once again

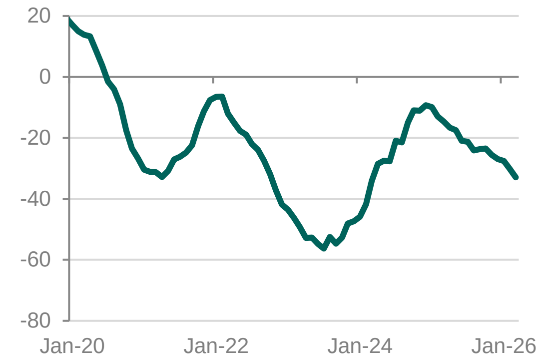
USD/CNY spot, 2Yr. yield spread, %



Sources: Bloomberg Finance L.P.

Chart 6: Turkish current account deficit widened

Current account, $ bln



Sources: Bloomberg Finance L.P.

AUD – Employment data in focus

Last week, AUD/USD rose to levels of above 0.70 – reflecting USD weakness and the impact of the two-week US-Iranian ceasefire. We note that front-end AUD swaps have moved to price in around 60 bps in Reserve Bank of Australia (RBA) rate hikes by year-end. The upshot of this is that two-year rate spreads have moved decisively in favour of AUD, and AUD/USD trades well below levels implied by spreads – as it has done for most of this year. The prospect of a sustained ceasefire would clearly be beneficial for AUD, given its historically high beta to global growth. The publication of March employment data (16 April) should give further upside impetus for AUD/USD. Markets anticipate a net employment change of around 17k, with unemployment anticipated to print at an unchanged 4.30%. The data should confirm that underlying labour market conditions remain supportive, justifying the RBA's hawkish stance on rates. We maintain our constructive stance on AUD/USD, anticipating a rise to levels of around 0.74 by year-end.

CNY – Monthly data dump

Last week, USD/CNY fell to levels of around 6.83, reflecting USD weakness as described above. Chinese PPI and CPI data for March printed at 0.5% y/y and 1.0% y/y, respectively. The data show that China has exited deflation – which bodes well for CNY exchange rates in our view, justifying the People's Bank of China (PBoC) stance in allowing CNY to appreciate since November of last year.

The main data releases over the coming week are the publication of trade balance data (14 April) and monthly activity data (retail sales, industrial production, fixed asset investment) on 16 April. The data should show a modest pick-up in activity, giving further impetus to the long CNY narrative. Overall, we maintain a highly constructive stance for CNY exchange rates, and we anticipate a continued decline to levels of around 6.70 by year-end.

TRY – Increasing depreciation pressure

Last week, USD/TRY rose to levels of around 44.50. TRY did not benefit from the ceasefire announcement in the Middle East – though we note that TRY did not depreciate to the same degree as the other main EM energy importers during March. The lack of aggressive TRY depreciation reflects heavy intervention efforts from CBRT – involving outright gold sales and gold swaps (selling gold in the spot market and buying it in the forward market), creating USD liquidity to stabilise TRY exchange rates. CBRT was expected to cut rates by 100 bps at its April meeting, which would have taken the weekly repo rate to 36% - this has now been priced out, and CBRT is unlikely to resume its rate cutting cycle until it has further clarity on the Middle East conflict.

The efforts to stabilise the exchange rate are concerning, because they are unlikely to improve the recent and expected deterioration in the Turkish current account. The January current account data printed at a deficit of -$6.8 bln, and higher energy prices should result in even further widening in the deficit. This places fundamental weakening pressure on TRY – irrespective of intervention efforts.

The main event risk for TRY over the coming week come with the release of weekly FX reserve data, which will indicate to what extent CBRT has reversed last month's campaign of selling foreign currency to support TRY. CBRT will also release their monthly CPI projection for year-end (currently around 25%) - a higher print here will blunt further downward repricing of front-end rate expectations.

Our FX Forecasts

	EUR/USD	GBP/USD	EUR/GBP	USD/JPY	USD/CHF	EUR/CHF	USD/CNY	AUD/USD	NZD/USD	USD/CAD	EUR/SEK	EUR/NOK
Jun -26	1.16	1.32	0.88	158	0.78	0.91	6.80	0.72	0.59	1.40	11.00	10.80
Sep -26	1.18	1.34	0.88	156	0.77	0.91	6.75	0.73	0.60	1.38	10.80	10.80
Dec-26	1.20	1.33	0.90	154	0.75	0.90	6.70	0.74	0.62	1.36	10.60	10.60
Mar-27	1.20	1.33	0.90	150	0.74	0.89	6.65	0.76	0.64	1.36	10.20	10.40

Sources : UBP, April 2026

	USD/TRY	USD/ZAR	USD/RUB	USD/ILS	USD/MXN	USD/BRL	USD/INR	USD/KRW	USD/TWD	USD/HKD	USD/SGD
Jun -26	48.00	16.50	85	3.15	17.50	5.15	92.50	1450	30.50	7.85	1.27
Sep -26	50.00	16.65	85	3.20	17.25	5.25	93.00	1425	30.00	7.85	1.26
Dec-26	52.00	16.80	85	3.25	17.00	5.35	93.50	1400	30.00	7.85	1.25
Mar-27	54.00	17.00	85	3.25	16.75	5.50	94.00	1400	29.50	7.85	1.24

Sources : UBP, April 2026

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